

Date of Issue: 17 August 2020

Effective: 17 August 2020

Circular No 15 of 2020

TO: All Insurers (Insurance Companies, Funeral Assurers and Life Companies)

All Insurance Brokers

CC: Insurance Council of Zimbabwe

Life Offices Association

Zimbabwe Association of Funeral Assurers

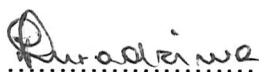
Insurance Brokers Association of Zimbabwe

RE: REQUEST FOR INFORMATION ON FOREIGN CURRENCY-DENOMINATED BUSINESS

1. Reference is made to the above matter.
2. As you are aware, the Commission has come up with a draft Statutory Instrument (S.I.) that provides for writing of both insurance and pensions business in foreign currency for consideration by monetary authorities. The Commission is now ready to submit the draft S.I. to the Ministry of Finance and Economic Development.
3. In order to support justification for the provisions of the draft regulations on forex business, the Commission, requests all direct insurers, in terms of section 64 of the Insurance Act [Chapter 24:07], to submit information on foreign currency business for the six months ended on 30 June 2020 as detailed below:

- i. Number and description of products denominated in foreign currency i.e. 'forex policies' currently being sold;
 - ii. Total value of business written in foreign currency including premiums received in foreign currency per product line, since January 2020, in respect of local currency-denominated business i.e. 'ZWL policies';
 - iii. Total paid and outstanding claims;
 - iv. Retention ratio for the forex business and name(s) of reinsurers';
 - v. Indicate where the foreign currency-denominated premiums are invested;
 - vi. Submit Nostro balances for foreign currency-denominated premium accounts as at 30 June 2020.
4. Insurance brokers are required to indicate the total amount of foreign currency premiums received and the total premiums remitted to the respective insurers. The total must also be broken down into the amounts transacted per insurer during the period 01 January to 30 June 2020.
 5. Please submit the above information in both Excel spreadsheets and hard copies.
 6. Going forward, kindly note that there will be particular regulatory focus on forex business. Therefore, all foreign currency denominated business should be reported separately on quarterly basis starting with third quarter returns expected on 21 October, 2020
 7. Levy returns shall therefore be expected to reflect currency of business written.
 8. The Commission anticipates your usual cooperation and requests that you provide the specified information on or before 24 August 2020.

Yours faithfully,



G. Muradzikwa

COMMISSIONER OF INSURANCE, PENSION AND PROVIDENT FUNDS